Q15

The biggest advantage is that the retailer will be protected in the event that the business fails while leaving unpaid debt. [1]

Creditors will be able to claim the company's assets, but will have no right to claim those of the retailer. [1]

There is a disadvantage to incorporating in that potential lenders and creditors will be aware of the risk of default and may take steps to protect themselves. [1]

The company may be required to enter into onerous contracts, such as debt covenants, which could complicate future funding activities. [1]

Alternatively, they may demand personal guarantees from the retailer agreeing to be liable in the case that the company defaults. That could remove the benefit of becoming a limited company. [1]

[Total 5]

Commentary:
Candidates generally scored well on this question. Many candidates were able to make good suggestions of the benefits of becoming a limited company.

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